MODULE 03

Tendering in Construction

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What is a Tender?

- A formal invitation to suppliers to submit offers for a project or procurement.
- Used widely in construction and procurement processes.
- Establishes competitive pricing and vendor selection.
- Key in both public and private sector projects.

Role in Contracts and Procurement

- It allows the client to invite offers from contractors or suppliers.
- It helps choose the most suitable contractor based on price, quality, and experience.
- Ensures Competitive Pricing Since many companies compete, they offer their best possible prices.
- Makes the Process Transparent hence There is less chance of bias or corruption.
- Once the best bid is accepted, tender becomes part of the legal contract.
- Tender documents mention technical standards and completion timelines.
- Government and public organizations must follow tender rules and guidelines (like CVC, CPWD). This helps maintain legal accountability.

Tender vs Quotation vs Bid

Feature / Aspect	Tender	Quotation	Bid
Meaning	A formal invitation to offer for work or supply, usually for large projects	An informal offer to supply goods/services, usually for smaller jobs	The offer submitted by a contractor/supplier in response to a tender
Formality	Highly formal and regulated process	Less formal	Depends on context
Usage	Used in government and large private projects	Used for routine/small jobs	Submitted in response to tender/quotation
Issued By	Client or employer	Buyer or department	Contractor or supplier
Submitted By	Contractors, suppliers, vendors	Vendors or service providers	Contractors or suppliers
Legal Standing	Invitation to offer; not binding until accepted	Often binding once accepted	Binding once accepted and contract signed

Tender vs Quotation vs Bid

Feature / Aspect	Tender	Quotation	Bid
Scope	Detailed scope with drawings, BOQ, terms & conditions	Simple description of work/item and expected rate	Follows the scope defined in the tender/quotation
Document Requirements	Includes technical specs, financial forms, EMD, affidavits, etc.	Simple rate offer; fewer documents	May include technical and financial offers
Regulation/ Governing	Regulated by laws/guidelines (CPWD, CVC)	Few formal rules	No separate regulation
Evaluation Criteria	Technical + Financial + Experience	Mostly based on price	Evaluated as part of tender
Examples	Road construction, bridges, large projects	Buying chairs, IT items, minor works	₹10 lakh bid to build a wall

Difference Between Tender and Contract

Tender	Contract
• An invitation to offer or bid for work/supply	• A legal agreement between parties after a bid is accepted
• Not legally binding until accepted	• Legally binding and enforceable in court
• Initiates the procurement process	• Concludes the procurement process
• Contains project details, terms, and conditions	• Includes agreed scope, price, and responsibilities
• Used to evaluate and select the contractor/supplier	• Used to define duties and enforce rights after selection

Requisites of Valid Tender

- **Clarity and Completeness:**
  - The tender must be clear, specific, and unambiguous.
  - All terms (scope of work, materials, specifications, deadlines) should be well-defined.
  - It must contain complete information, without leaving essential elements open to assumption.
- **Conformity to Tender Conditions**
  - The submitted tender must fully comply with the conditions laid down in the invitation to tender (ITT).
  - Any deviations or alterations can render the tender invalid or non-responsive.
- **Submitted Within Timeframe**
  - The tender must be submitted before the deadline mentioned in the tender notice.
  - Late tenders are usually rejected unless allowed by the client under specific conditions.

Requisites of Valid Tender

- **Genuine Intention to Contract**
  - The tenderer must submit the offer with a serious and genuine intention to be bound by the terms if accepted.
  - It must not be a mere expression of interest.
- **Proper Authorization**
  - The tender should be signed and submitted by a person authorized to do so on behalf of the tenderer (company, firm, etc.).
  - This ensures the offer is legally valid and binding.
- **Earnest Money Deposit (EMD), if Applicable**
  - If the tender requires an EMD (as security for serious participation), it must be included.
  - Missing or invalid EMD can lead to rejection of the tender.

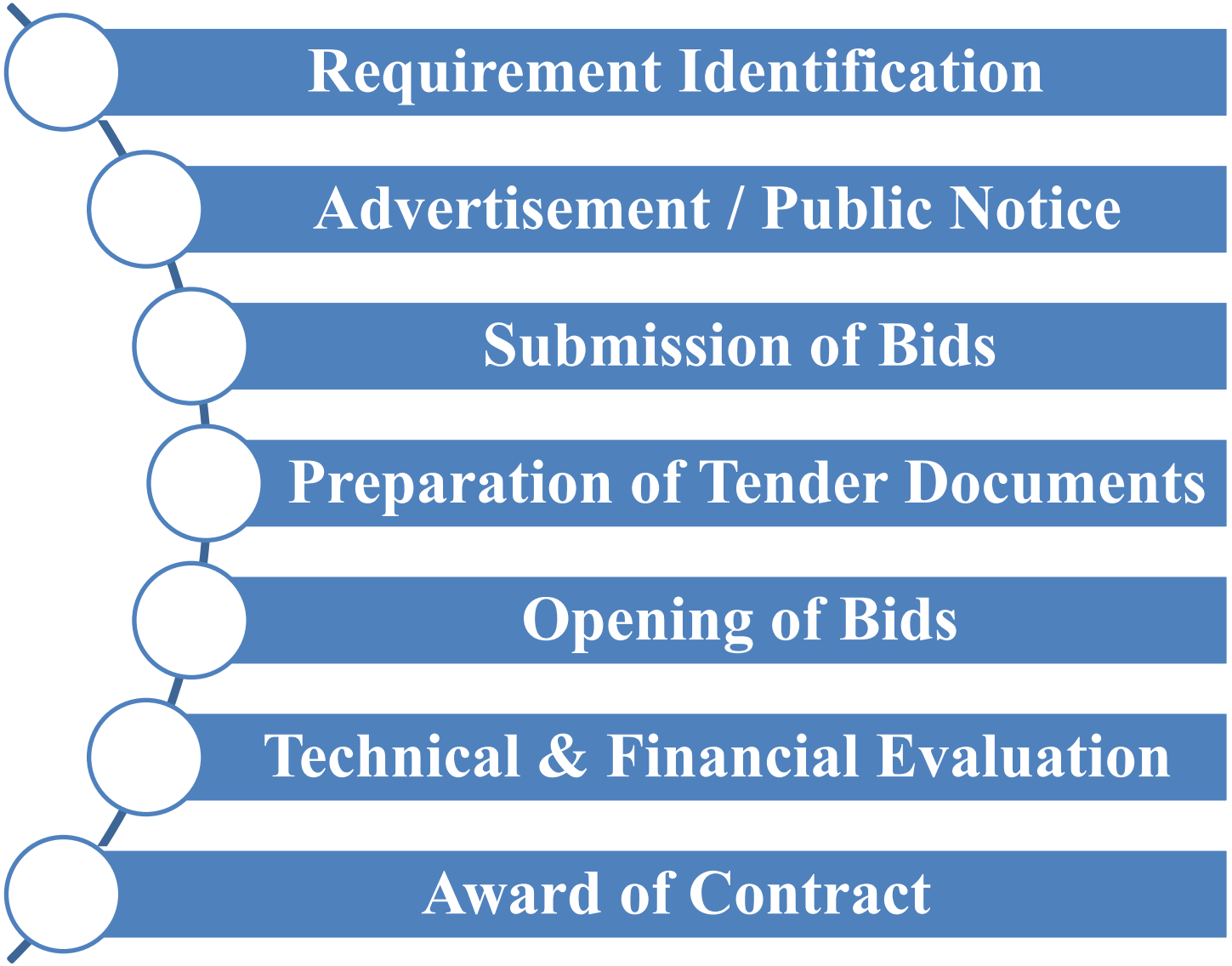
Requisites of Valid Tender

- **No Conditions Imposed**
  - A valid tender should be unconditional, unless the tender allows for alternative or conditional proposals.
  - Conditional tenders may be treated as non-compliant.
- **Legal Capacity to Contract**
  - The tenderer must have legal capacity to enter into a contract (e.g., not a minor or disqualified person/firm).
  - The firm must also have valid registration, licenses, or qualifications, as required.
- **Adherence to Format and Documentation**
  - Tender must be submitted in the prescribed format (online or offline).
  - All supporting documents, certificates, and annexures must be attached as per requirement.

Types of Tendering: Open Tendering

- The open tender is the most common and transparent method used in public procurement.
- It invites any qualified supplier to submit a bid for a project or service, allowing for free competition.
- This approach encourages a wide range of suppliers to participate, leading to competitive pricing and innovative solutions.
- Open tendering is one of the types of tenders that promotes fairness and equal opportunity for all.

Process Flowchart of Open Tendering



Objectives of Open Tendering

- Open tendering invites bids from all eligible contractors, encouraging maximum participation and competitive bidding.
- Increased competition motivates bidders to offer the most cost-effective and high-quality proposals.
- All qualified bidders have an equal chance to compete, ensuring fairness in the procurement process.
- A transparent and open process minimizes the scope for manipulation, bias, or unfair practices.
- Every stage of the tendering process is open to public scrutiny, ensuring responsible and honest procurement.

Advantages of Open Tendering

- Open tendering attracts the highest number of bidders, leading to a wide choice of contractors.
- Competitive bidding drives prices down while maintaining quality.
- The process is open to public scrutiny, building trust in procurement.
- All eligible contractors have the same chance to win the contract.
- Gives new and smaller firms an opportunity to compete with established players.
- Public advertising and clear evaluation criteria prevent biased selections.

Limitations of Open Tendering

- Preparing documents, advertising, evaluating bids, and awarding contracts takes longer than other methods.
- Large volumes of bids require significant manpower for processing and evaluation.
- Open access may attract inexperienced or incapable contractors, leading to performance risks.
- Some bidders may quote below cost to win the contract, causing future disputes or delays.

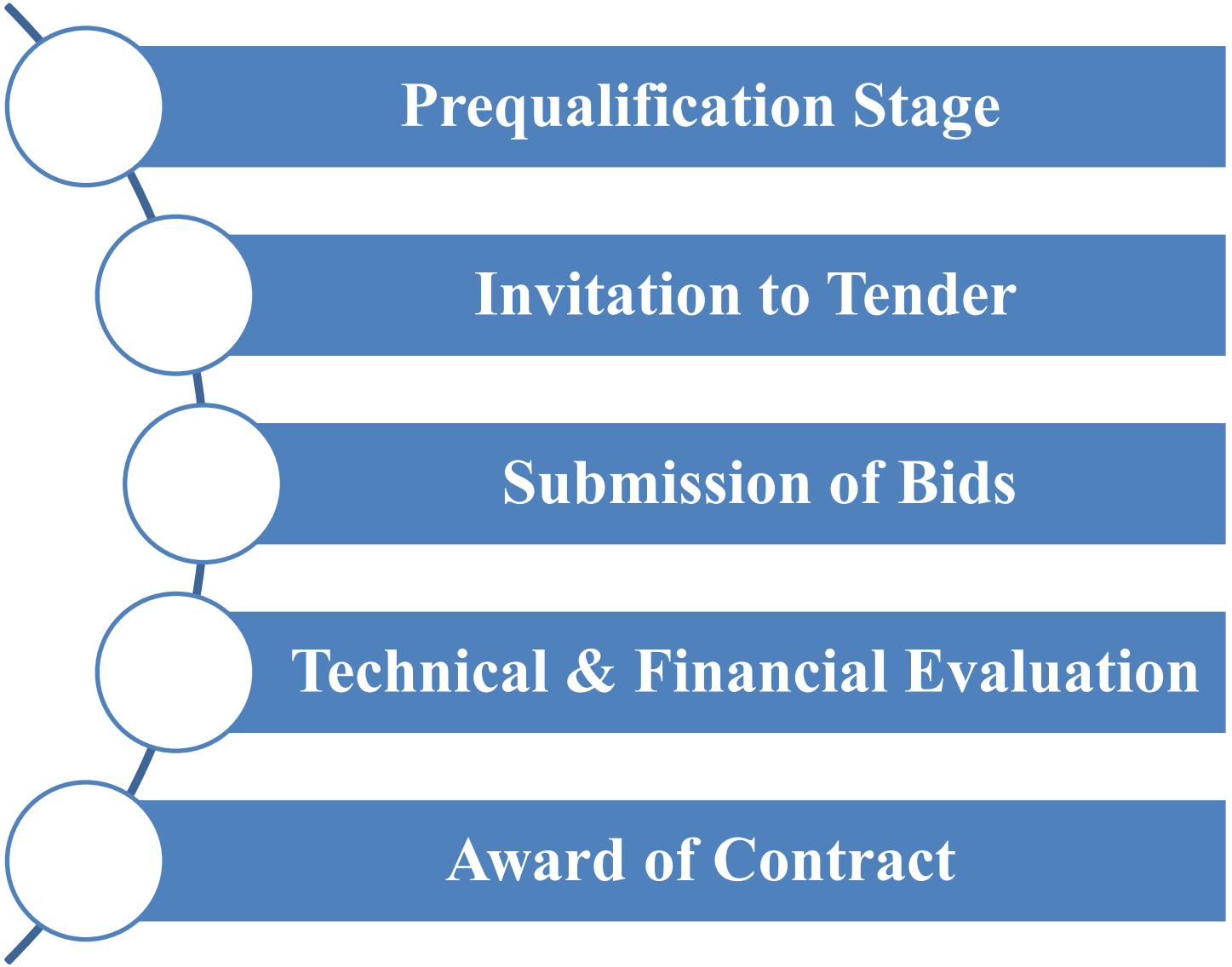
Suitability of Open Tendering

- **Standard and Well-Defined Projects** – Best for works where design, specifications, and quantities are clear and require minimal technical interpretation. **(Building of a government school)**
- **Publicly Funded Projects** – Suitable for government or public sector works where transparency and equal access are mandatory. **(National Highway widening)**
- **Projects Requiring Maximum Competition** – Ideal when the aim is to attract the largest pool of bidders to achieve the best value. **(municipal public park)**
- **Non-Urgent Works** – Suitable for projects where there is sufficient time for advertisement, bidding, and evaluation. **(Renovation of a public library)**
- **Projects Without Confidential or Sensitive Requirements** – Appropriate when no high-security or classified information is involved. **(Drainage Improvement)**

Types of Tendering: Selective Tendering

- Selective tendering is a procurement method where only pre-qualified contractors are invited to bid.
- The selection is based on experience, technical capability, financial stability, and past performance.
- It is not open to the public like open tendering; participation is by invitation only.
- This method ensures that only competent and reliable contractors are considered.
- Aims to achieve a balance between competitive pricing and quality workmanship.

Process Flowchart of Selective Tendering



Objectives of Selective Tendering

- ❖ Engage only contractors with proven expertise and resources.
- ❖ Avoid inexperienced or unreliable bidders.
- ❖ Limit the number of bids for faster evaluation.
- ❖ Allow competition among equally capable contractors.
- ❖ Select contractors suited for specialised or complex projects.
- ❖ Increase chances of timely completion and compliance with specifications.

Advantages of Selective Tendering

- Minimises chances of poor workmanship or project delays.
- Fewer bids to assess compared to open tendering.
- Contractors selected based on relevant skills and project requirements.
- Greater assurance of meeting deadlines and specifications.
- Avoids handling large volumes of non-viable bids.
- Often based on prior successful working relationships.

Limitations of Selective Tendering

- Fewer bidders may lead to higher prices.
- Selection process may favour certain contractors.
- Shortlisted contractors may engage in price fixing.
- Limits opportunities for new but capable contractors.
- Poor screening can result in unsuitable bidders.
- Stakeholders may view the process as less transparent than open tendering.

Suitability of Selective Tendering

- **Specialised or Complex Projects**
  - *Example: Construction of a nuclear research facility or airport runway.*
- **High-Value or High-Risk Projects**
  - *Example: Metro rail system construction in urban areas.*
- **Projects Requiring Proven Track Record**
  - *Example: Restoration of heritage monuments like the Gateway of India.*
- **Time-Sensitive Projects**
  - *Example: Rapid construction of a disaster relief hospital after a cyclone.*
- **Confidential or Security-Sensitive Work**
  - *Example: Defence-related infrastructure projects.*

Types of Tendering: Negotiated Tendering

- Negotiated tendering is a method of procurement where the client (or their consultant) negotiates directly with a single preferred contractor, or a small number of contractors, to determine the contract price, technical requirements, and terms of agreement.
- Unlike open or selective tendering, there is no formal competitive bidding process. Instead, emphasis is placed on building mutual trust, collaboration, and reaching an agreement that balances quality, cost, and time.
- It is often chosen for projects that require special expertise, urgent execution, or where the client already has a strong working relationship with a contractor.

Objectives of Negotiated Tendering

- Ensure quality and reliability by working with a contractor with proven track record and expertise.
- Save time by bypassing lengthy competitive bidding processes.
- Reduce risks through early contractor involvement in project planning and design.
- Maintain confidentiality in projects where sensitive information cannot be disclosed widely.
- Encourage collaboration between client and contractor to optimize design, costs, and timelines.
- Enable flexibility in making scope changes without restarting the entire procurement process.

Advantages of Negotiated Tendering

- Contracts can be agreed upon quickly, making it ideal for urgent projects.
- Direct negotiation improves understanding of project requirements.
- Contractor can provide input on design, buildability, and cost savings before finalizing the project scope.
- Selecting a trusted, experienced contractor increases chances of quality execution.
- No need to evaluate multiple tenders or manage a large bidding process.

Limitations of Negotiated Tendering

- Without competition, the client may not get the lowest price.
- Choosing contractors without competition may lead to accusations of unfairness.
- Client may miss opportunities to work with new or innovative contractors.
- Negotiated prices may be higher than market rates.
- If trust breaks down, the process can lead to disputes or substandard work.
- Process is less open to public or stakeholder scrutiny compared to open tenders.

Suitability of Negotiated Tendering

- **Specialized Projects** – Projects requiring unique skills, technology, or experience (e.g., restoration of heritage buildings).
  - *Example: Negotiating with a specialist contractor for conservation of the Taj Mahal's marble work.*
- **Urgent Works** – Where time is critical and competitive bidding would cause delays.
  - *Example: Repairing a collapsed bridge after a natural disaster.*
- **High Security Projects** – Where confidentiality is essential.
  - *Example: Defence-related construction for military facilities.*
- **Repeat Work with Trusted Contractor** – To maintain quality and consistency.
  - *Example: Expanding an existing manufacturing facility with the same contractor who built the original plant.*

What is Tender Notice?

- A Tender Notice is a public invitation issued by an organization for suppliers/contractors to bid for a specific work or supply.
- It is published in newspapers, websites, or notice boards.
- Legally initiates the procurement process.
- The purpose of tender notice is Invite competitive bids, promote fair and open competition, ensure transparency in procurement, comply with government regulations.

Components of Tender Notice

- Project Name & Tender Number
- Scope of Work
- Estimated Cost & EMD
- Eligibility Criteria
- Important Dates
- Submission Instructions
- Contact Details

Tender Notice Example

GOVERNMENT OF MAHARASHTRA, HOME DEPARTMENT (PORTS & TRANSPORT)

MAHARASHTRA MARITIME BOARD

Indian Mercantile Chambers, 2nd Floor, Ramjibhai Kamani Marg,
Ballard Estate, Mumbai - 400 001.

Tel. : 022-69041777, **Fax** : 022-69041740

Website : https://mahammb.maharashtra.gov.in **Email** : ceo.mmb@maharashtra.gov.in / ceommb@gmail.com

Third E-Tender Notice - (Year 2023-24)

Main Portal : https://mahatenders.gov.in

Digitally signed E-Tender for following work is invited by Chief Executive Officer, Maharashtra Maritime Board, Mumbai, from Registered with Government of Maharashtra in appropriate class and having experience in execution of Building & it's related civil works, for following work in B2 Tender Form.

Sr. No.	Name of Work	Cost of Tender in Rs.	Earnest Money Amount in Rs.	Blank Tender form amount in Rs.	Time Limit for Completion of Work
1.	Construction of Jetty in National Waterways (NW 53) at Dombivali, Tal. and Dist. Thane	20,08,61,087/-	10,05,000/-	3,540/-	18 Months (Including Monsoon)

The details can be viewed online and downloaded directly from the Government of Maharashtra E-Tendering Portal **https://mahatenders.gov.in** and from sub Portal of Home Department **www.mahammb.maharashtra.gov.in** from **06.02.2024** at **17:00 hrs.** upto **15.02.2024 at 17.00 hrs.(IST)**

The right to reject any or all tenders without assigning any reason is reserved.

Sd/-
Executive Engineer,
Maharashtra Maritime Board, Mumbai.

DGIPR/2023-2024/ROC 7762

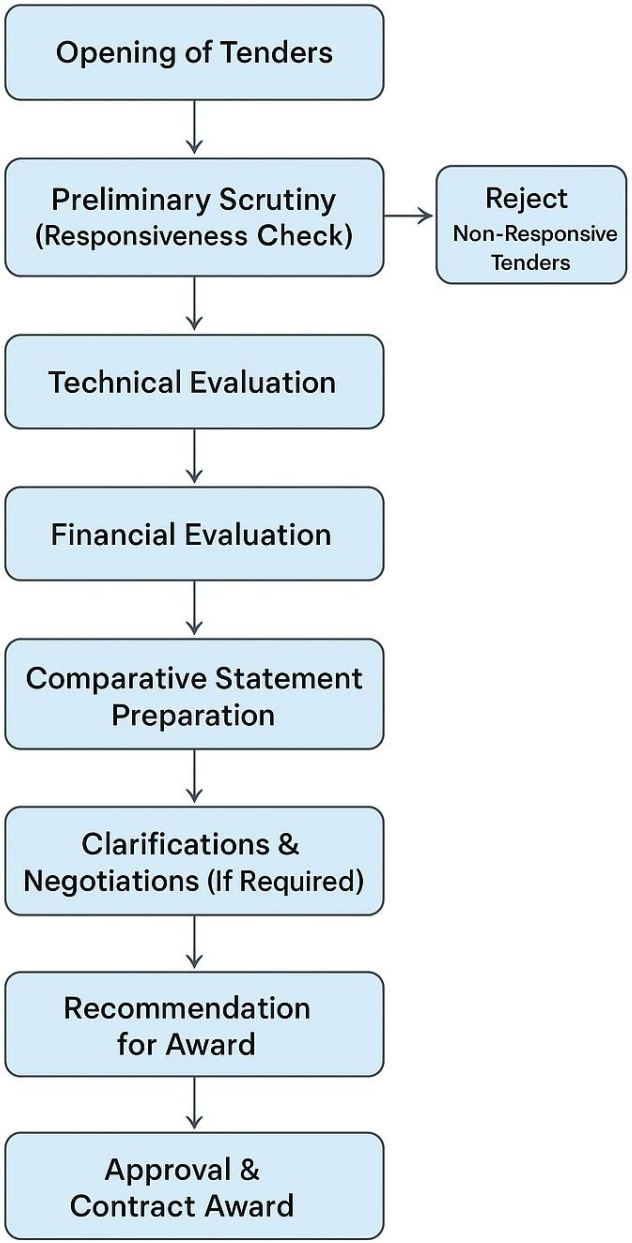
Tender Documents

- Tender Documents are a set of formal papers issued by the Employer/Client to invite bids for a construction or procurement project.
- They provide all necessary information for bidders to prepare and submit their offers.
- Key purpose: To ensure transparent, fair, and competitive bidding.
- Typical components include: Instructions to Tenderers, Conditions of Contract, Specifications, Drawings, Bill of Quantities (BOQ), and Forms.
- Serve as a legal basis for contract formation once a tender is accepted.

Components of a Tender Document

Section	Description
Tender Notice / Invitation	Announces the project, eligibility criteria, fees, deadlines, and contact details.
Instructions to Tenderers	Guidelines on how to prepare and submit the tender correctly.
Eligibility Criteria	Minimum qualifications and experience required from bidders.
Tender Fee and EMD	Details of fees and Earnest Money Deposit required to participate.
Scope of Work	Clear description of the project and expected deliverables.
Technical Specifications	Detailed technical requirements and quality standards for materials and workmanship.
Bill of Quantities (BOQ)	Detailed itemized list of materials, labor, and services with quantities and units.
Conditions of Contract	Legal terms, rights, obligations, and liabilities of parties.
Drawings and Designs	Architectural, structural, and service drawings needed for the project.
Tender Submission Details	Instructions on submission format, deadline, and venue or portal.

Tender Scrutinization Process



Bidding Strategies for Tender

Bidding Strategy	Description	Advantages	Disadvantages	Example in Construction
Low-Bid Strategy	Bid lowest to win	High chance of winning	Thin profit margin, risk of poor quality	Road construction, public tenders
Value-Based Bidding	Emphasize quality, innovation, sustainability	Can command higher price	Requires strong reputation & proof	Green buildings, LEED/GRIHA projects
Target Cost Bidding	Bid around a competitive target cost	Balanced risk, predictable profit	Needs accurate estimation	Residential & commercial building projects
Cost-Plus Bidding	Actual cost + fixed % fee	Transparent, covers contractor risk	Client bears cost overruns	Specialized renovations, complex interiors
Unit Price Bidding	Bid based on unit rates (per m^3, per ton, etc.)	Flexible for uncertain quantities	Final cost may vary a lot	Earthworks, excavation, concrete supply
Strategic Bidding	Bid low or high based on future goals	Builds long-term relationships	May sacrifice short-term profit	Entering new regions/clients

E-Tendering

- E-Tendering is the process of publishing, receiving, and evaluating tender bids using an electronic system.
- It replaces manual tendering with an online, secure, and transparent platform.
- Why PWD uses it:
  - Ensure transparency in public spending
  - Attract wider participation
  - Minimize paperwork & physical visits
  - Maintain digital records for audits

Benefits of E-Tendering in PWD

- Transparency: Every step is visible online, reducing chances of corruption.
- Equal Opportunity: All eligible contractors can access tender notices at the same time.
- Cost & Time Efficiency: No need for physical document purchase, postage, or travel.
- Accessibility: Tenders are available 24x7 on the portal, accessible from anywhere.
- Accountability: Online record keeping ensures audit trails.
- Speed: Faster evaluation and award due to automation.

PWD E-Tendering Portal

- Example: https://mahatenders.gov.in
- Tender Search by department/category
- Bidder Registration online
- Download tender documents
- Submit bids securely
- Online payment of Tender Fee & EMD
- Email/SMS notifications

Key Requirements for Bidders

- Digital Signature Certificate (DSC): Class III DSC is mandatory for login and bid submission.
- Registration: Contractor must be registered on the PWD e-tendering portal.
- Valid Documents: PAN, GST, MSME registration (if applicable), solvency certificate, work experience, turnover statements, etc.
- Technical Setup:
  - Computer with updated browser
  - Reliable internet connection
  - PDF scanner for uploading documents

E-Tendering Process Flow

Step 1: Tender Notice Publication – PWD uploads tender details online.

Step 2: Bidder Registration & Login – Contractor logs into portal.

Step 3: Download of Tender Documents – Bidders read instructions, terms & scope of work.

Step 4: Pre-Bid Queries/Clarifications – Contractors may raise questions before submission.

Step 5: Bid Preparation & Submission – Upload scanned technical documents + fill financial bid form.

Step 6: Bid Opening – PWD officers open bids digitally at specified date & time.

Step 7: Evaluation – Technical evaluation → Financial evaluation.

Step 8: Award of Contract – Lowest eligible bidder (L1) is awarded contract via Letter of Acceptance (LOA).

E-Tendering Stages

- **Stage 1: Notice Inviting Tender (NIT):** Advertisement published on portal with project scope, eligibility, and deadlines.
- **Stage 2: Document Download:** Contractors download free tender documents including BOQ, drawings, conditions.
- **Stage 3: Bid Submission:** Upload scanned documents (technical) + fill price bid form online before deadline.
- **Stage 4: Technical Evaluation:** Department verifies experience, financials, and qualifications.
- **Stage 5: Financial Evaluation:** Only technically qualified bidders' financial bids are opened.
- **Stage 6: Award & Acceptance:** Lowest bidder (L1) selected; LOA issued electronically.

Security Features

- **Digital Signature Verification:** Ensures authenticity of bidder.
- **Data Encryption:** Bids are encrypted and cannot be accessed before opening.
- **Auto Locking:** Bids automatically lock after submission deadline.
- **User Authentication:** Multi-level login with DSC & OTP verification.
- **Audit Trail:** Each action is recorded with timestamp for monitoring.
- **Controlled Access:** Only authorized officers can view or open bids.

Challenges in E-Tendering

- **Technical Barriers:** Contractors with low IT skills face difficulty.
- **Connectivity Issues:** Poor internet in rural/remote areas.
- **System Downtime:** Portal may be slow near submission deadlines.
- **Cost of DSC:** Additional expense for small contractors.
- **Cybersecurity Concerns:** Risk of phishing if not cautious.

THANK YOU